

1. Immigration – Neutral

1-European countries could consider a balanced immigration framework combining **managed legal migration, effective integration, and humanitarian protection**. Expanding legal pathways for workers and students could address labour shortages, support economic growth, and contribute to ageing societies. However, governments would need systems to match migration with labour-market needs and ensure fair wages and working conditions.

Integration policies—including language education, recognition of qualifications, access to employment, and civic orientation—could improve social participation and reduce exclusion. Their costs may be significant initially, and outcomes can vary depending on local capacity.

For people fleeing persecution or war, maintaining **asylum and refugee protections** is important under international obligations. Faster, fairer asylum procedures could reduce backlogs while protecting those with legitimate claims. At the same time, cooperation among European countries could help distribute responsibilities more evenly.

Governments might also strengthen **border management and action against human smuggling**, while ensuring that enforcement respects human rights. Restrictive approaches may reduce irregular arrivals but can create humanitarian risks and labour shortages if legal alternatives are insufficient.

Overall, policy choices involve trade-offs among economic needs, social cohesion, border management, and humanitarian responsibilities; their effects depend heavily on implementation and national circumstances.

2-European countries could consider a **balanced immigration framework** combining controlled legal migration, effective integration, and strong humanitarian protection. Expanding legal pathways for workers and students could help address labour shortages, support economic growth, and strengthen public finances, particularly in ageing societies. However, governments would need systems to match migrants' skills with labour-market needs and prevent exploitation.

Integration policies—such as language education, recognition of qualifications, access to employment, and civic education—can improve social and economic participation. Their costs can be significant initially, and successful integration may require investment in housing, schools, healthcare, and local services.

For **asylum seekers and refugees**, European countries could maintain access to protection while improving the speed and fairness of asylum procedures. Cooperation among EU states could distribute responsibilities more evenly and reduce pressure on border countries. At the same time, stronger external-border management and action against human smuggling could reduce dangerous journeys.

More restrictive approaches may ease short-term pressure on public services and housing, but could reduce labour supply and create humanitarian concerns. More open approaches can provide economic and humanitarian benefits but may increase demands on infrastructure and integration systems. Overall, policy choices involve trade-offs among economic needs, social capacity, border management, and international obligations.

3-European countries could consider a balanced immigration framework combining **managed legal migration, effective asylum procedures, integration measures, and cooperation with countries of origin and transit.**

Expanding legal work and study pathways could help address labour shortages, support economic growth, and strengthen public finances, particularly in ageing societies. However, governments would need to match migration levels with housing, infrastructure, education, and healthcare capacity. Poorly managed increases could intensify pressure on local services and contribute to social tensions.

For asylum seekers, faster and fairer processing could reduce uncertainty and administrative backlogs while ensuring protection for people fleeing persecution or war. At the same time, effective border management and action against human smuggling could improve the functioning of the asylum system. Returns for people without a legal right to remain remain a practical challenge, especially where cooperation with origin countries is limited.

Integration policies—including language education, recognition of qualifications, employment support, and anti-discrimination measures—can improve economic and social participation. Humanitarian obligations under international law should remain central, while governments also need transparent rules and sustainable implementation.

Overall, different countries may reasonably adopt different mixes depending on their labour markets, population trends, resources, and humanitarian responsibilities.

4-European countries could consider a balanced immigration framework combining **legal pathways, effective integration, and protection for people fleeing persecution.** Expanding work visas for sectors facing labour shortages could help address ageing populations, support economic growth, and increase tax revenues. However, governments would need to manage potential pressure on housing, infrastructure, wages in some occupations, and public services.

Stronger **integration policies**, including language courses, education, employment support, and recognition of foreign qualifications, could improve migrants' economic participation and social cohesion. Their costs would be significant initially, and outcomes may vary by region and migrant group.

For **asylum**, countries could maintain access to protection while making procedures faster and more consistent, reducing uncertainty for applicants and administrative burdens. Safe and legal routes could also reduce reliance on dangerous irregular journeys. At the same time, effective border management and cooperation among European states could help address irregular migration.

Finally, European countries could strengthen cooperation on **burden-sharing**, particularly regarding reception and asylum processing. Overall, policy choices involve trade-offs among economic needs, social capacity, border management, and humanitarian obligations; outcomes would depend heavily on implementation and national circumstances.

5-European countries could consider a balanced immigration framework combining controlled migration, effective integration, and humanitarian protection. **Labour migration** targeted at sectors facing shortages can support economic growth, address ageing

populations, and strengthen public finances. However, governments would need to manage pressure on housing, infrastructure, wages in some occupations, and public services.

Integration policies—including language education, recognition of qualifications, access to employment, and civic education—can improve migrants’ participation in society and reduce social exclusion. Their effectiveness depends on adequate funding and implementation, while successful integration can benefit both migrants and host communities.

For **asylum and humanitarian protection**, countries can maintain accessible procedures while making decisions faster and more consistent. Greater cooperation among European states could distribute responsibilities more fairly and improve border management. Safe and legal migration routes could reduce reliance on smugglers and dangerous journeys.

More restrictive approaches, such as lower admission levels or stronger border controls, may reduce immediate migration pressures but can also limit economic opportunities and raise humanitarian concerns. Overall, policy choices involve trade-offs among economic needs, social cohesion, border management, and international obligations.

2. Immigration –

1-European countries could pursue immigration policies that combine **effective rights protection with long-term integration**. First, governments could ensure fair asylum procedures, access to legal assistance, adequate housing, healthcare, and protection from exploitation. Strong enforcement of labour standards would help prevent migrants from being trapped in insecure or underpaid work.

Second, **language courses, vocational training, and recognition of foreign qualifications** could be expanded. Faster access to employment and education can strengthen migrants’ economic independence while addressing labour shortages in sectors such as healthcare, construction, and technology. Schools could also provide targeted support for migrant children to improve educational inclusion.

Third, countries could create clearer legal pathways for work, study, and family reunification, reducing reliance on irregular migration routes. Cooperation among European states could help distribute responsibilities more fairly and coordinate integration policies.

These approaches may generate benefits including higher employment, greater tax contributions, social participation, and reduced exploitation. However, they also involve challenges: substantial public spending, pressure on housing and public services, administrative complexity, and disagreements over migration levels and integration requirements. Policies therefore need sustainable funding, transparent rules, and cooperation between national and local governments while respecting migrants’ fundamental rights.

2-European countries could pursue immigration policies that combine effective border management with strong protections for migrants’ rights and integration. First, governments could expand **legal migration pathways**, including work, study, and humanitarian routes, reducing reliance on irregular journeys and exploitation by smugglers.

Second, countries could ensure **fair asylum procedures**, access to legal assistance, safe reception conditions, and timely decisions, while respecting international refugee and human-rights obligations.

For integration, governments could provide **language and vocational training, recognition of foreign qualifications, access to education and healthcare, and support for employment**. Anti-discrimination measures and opportunities for civic participation could also strengthen social inclusion. Local authorities and employers could receive funding to support housing, schools, and community services in areas receiving many newcomers.

Potential benefits include higher employment, better use of migrants' skills, greater social participation, and improved long-term economic contributions. However, these policies can involve substantial **short-term public costs**, administrative demands, and pressure on housing, schools, healthcare, and local infrastructure. Governments may also face political disagreements over immigration levels and integration expectations. Effective implementation therefore requires adequate funding, coordination between national and local authorities, and transparent rules applied consistently.

3-European countries could adopt policies that combine **effective migration management with protection of migrants' rights and integration**. Key measures include faster and fairer asylum procedures, access to legal assistance, humane reception conditions, and protection against exploitation and discrimination. Governments could also expand language and civic-education courses, recognize foreign qualifications more efficiently, and provide pathways into employment, apprenticeships, and education.

Such policies can benefit both migrants and host societies. Faster recognition of qualifications and access to work can reduce unemployment, increase tax contributions, and address labour shortages. Language education and equal access to schools and healthcare can strengthen social participation and reduce long-term dependence on public support. Clear legal pathways may also make migration systems more predictable.

However, these approaches involve challenges. Integration programmes require substantial public funding and administrative capacity, while rapid labour-market integration can be difficult when housing, childcare, or suitable jobs are scarce. Governments must also balance humanitarian obligations with border management and public concerns about migration levels. Differences among European countries in labour markets, welfare systems, and migration pressures make a single policy difficult to implement. Cooperation at the EU level can therefore help establish common standards while allowing countries flexibility in implementation.

4-European countries could consider a balanced immigration framework that protects migrants' rights while supporting integration and social cohesion. Key measures include **fair and efficient asylum procedures**, access to legal representation, humane reception conditions, and protection from exploitation. Governments could also expand **legal migration pathways**, reducing reliance on irregular routes and helping employers address genuine labour shortages.

For integration, policies could provide **language and vocational training, recognition of foreign qualifications, access to education and healthcare, and support for employment**. Anti-discrimination measures and opportunities for civic participation could further

encourage migrants' inclusion in society. Cooperation among European countries on responsibility-sharing and border management could make migration systems more predictable and equitable.

These approaches may produce economic benefits by helping migrants enter the labour market, start businesses, and contribute taxes and skills. Early integration can also reduce long-term dependence on public assistance and strengthen social participation.

However, challenges include the **cost of integration programmes**, pressure on housing, schools, healthcare and other public services, and disagreements over how responsibilities should be distributed among countries. Governments may also face concerns from communities about the pace of migration and social cohesion. Effective policies therefore require adequate funding, transparent rules, and cooperation between national and European authorities.

5-European countries could pursue immigration policies that combine **human-rights protections with effective integration**. First, governments could ensure fair asylum procedures, access to legal assistance, safe reception conditions, and protection from discrimination and exploitation. Second, they could expand **language and civic-integration courses**, alongside faster recognition of migrants' qualifications and easier access to education and vocational training. Third, governments could facilitate legal employment through clearer work-permit pathways and stronger enforcement of labor standards. Affordable housing and access to healthcare and social services would also help migrants participate fully in society.

These approaches could provide several benefits. Better integration may increase migrants' employment and tax contributions, address labor shortages, and reduce social exclusion. Language education and interaction with local communities can also strengthen social cohesion.

However, challenges include **financial costs, pressure on housing and public services, and administrative capacity**. Rapid migration can create difficulties for local authorities, particularly where infrastructure is already strained. Governments may also face disagreements over the scale of immigration and how responsibilities should be shared among European countries. Effective policies therefore require adequate funding, coordination between national and local governments, and regular evaluation to balance humanitarian obligations with economic and social needs.

3. Immigration –

1-European countries could consider a combination of **effective border management, predictable legal migration, and stronger integration policies**. This could include faster and fairer asylum procedures, cooperation on external-border protection, agreements with countries of origin and transit, and targeted action against people-smuggling networks. Legal migration pathways based on labour-market needs could make migration more predictable while reducing incentives for irregular entry.

To keep immigration manageable, governments could regularly assess local capacity in **housing, healthcare, education, and social services**, adjusting admission policies and funding accordingly. Investment in language training, employment support, and civic education could also strengthen integration and social cohesion.

Potential benefits include more orderly migration, better allocation of public resources, reduced irregular migration, and improved integration outcomes. However, these measures face significant challenges. Stronger border controls can be expensive and may create humanitarian concerns if asylum seekers cannot access protection. Restrictive policies may also worsen labour shortages in sectors dependent on migrant workers. Cooperation with non-EU countries can be politically and diplomatically difficult, while rapid changes in migration policy may create uncertainty for employers and migrants. Policies therefore need to balance **border management, humanitarian obligations, economic needs, and integration capacity**.

2-European countries could pursue a combination of **effective border management, controlled legal migration, and better integration**. Strengthening external-border monitoring, improving registration and asylum procedures, and speeding up decisions could reduce irregular migration and make arrivals more predictable. Cooperation among EU countries on responsibility-sharing and returns, where legally permissible, could also reduce pressure on individual states.

At the same time, governments could establish **migration pathways linked to labour-market needs**, allowing employers to recruit workers where shortages exist while maintaining transparent admission limits. Investments in language education, housing, schools, healthcare, and employment support could help newcomers integrate and reduce pressure on public services.

These measures could make migration more manageable, improve administrative capacity, and support social cohesion. However, stronger controls can be costly and may create humanitarian concerns, particularly if asylum seekers cannot access fair procedures or protection. Strict numerical limits may also conflict with labour shortages or international obligations. Integration programmes require substantial public investment and take time to produce results. Finally, migration pressures differ considerably between countries, so policies would need to account for national labour markets, infrastructure, demographics, and existing asylum responsibilities.

3-European countries could consider a combination of **effective border management, predictable legal migration pathways, and stronger integration policies**. Faster asylum processing, adequate border staffing, and cooperation with EU and origin/transit countries could reduce irregular entry and shorten periods of uncertainty. Clear annual or sector-based legal migration pathways could help align immigration with labour-market needs while reducing incentives for irregular migration.

To keep migration manageable for public services, governments could link planning to housing, healthcare, education, and local infrastructure capacity, while providing additional funding to municipalities experiencing rapid population growth. Stronger language training, employment support, and civic-orientation programmes could facilitate integration and social participation.

Potential benefits include **more orderly migration, improved administrative capacity, better labour-market matching, and reduced pressure on local services**. However, these measures also present challenges. Border controls can be costly and may raise humanitarian and legal concerns, particularly regarding asylum seekers' rights. Migration caps or stricter admission criteria can worsen labour shortages in some sectors and may be difficult to administer fairly. Integration programmes require sustained investment, while uneven migration across European countries can create disputes over responsibility and burden-sharing. Effective policy therefore requires balancing border management, humanitarian obligations, economic needs, and local capacity.

4-European countries could consider a balanced immigration framework combining **effective border management, predictable legal pathways, and integration policies**. Strengthening external-border screening, improving registration and identity checks, and increasing cooperation among EU states could help manage irregular migration and improve enforcement. Faster, fairer asylum procedures would reduce backlogs while ensuring protection for people legally entitled to asylum.

Governments could also align immigration levels more closely with **housing, healthcare, education, and labour-market capacity**, using transparent planning based on regional needs. Expanding legal routes for workers and students could help employers address labour shortages while reducing incentives for irregular migration. At the same time, stronger integration measures—including language education, employment support, and civic orientation—could facilitate participation in society.

Potential benefits include **greater administrative predictability, reduced pressure on overstretched services, improved labour-market matching, and stronger public confidence in immigration systems**. However, these policies face significant challenges. Tighter border controls can be costly and may create humanitarian concerns, particularly if access to asylum becomes difficult. Restrictive admission policies can also worsen labour shortages or separate families. Finally, EU countries have different economic needs and political priorities, making agreement on common rules difficult. Effective policy therefore requires balancing enforcement, humanitarian obligations, economic needs, and integration capacity.

5-European countries could consider a combination of **effective border management, predictable legal migration pathways, and stronger integration policies**. Strengthening external border controls, improving registration and screening procedures, and increasing cooperation on returns for people without a legal right to remain could make migration systems more orderly. At the same time, expanding legal routes for workers and refugees could reduce irregular migration and help employers address labour shortages.

To keep immigration manageable for public services, governments could use transparent planning based on housing availability, healthcare capacity, schools, and labour-market needs. Faster asylum decisions would help governments provide support efficiently while giving applicants greater certainty. Investment in language education, employment support, and civic integration could promote participation and social cohesion.

These approaches have potential benefits: more predictable migration levels, reduced pressure on administrative systems, better labour-market matching, and improved integration. However, challenges include the financial and administrative costs of stronger controls,

difficulties forecasting migration flows, labour shortages if admission is too restrictive, and legal obligations toward asylum seekers and refugees. Integration policies also require sustained investment and can take years to produce results. Effective policy therefore requires coordination among European countries and regular adjustment based on reliable evidence.

1. Climate Policy

1- European countries should consider a mix of climate policies rather than relying on a single approach. Expanding **renewable energy** such as wind and solar can reduce greenhouse-gas emissions, improve energy security, and create green jobs, although it requires substantial investment and can face land-use and local-acceptance challenges. **Carbon pricing**, through emissions trading or carbon taxes, can encourage businesses and consumers to reduce emissions efficiently. However, it may increase energy and transport costs, disproportionately affecting lower-income households unless revenues support targeted compensation.

Governments can also promote **energy efficiency** through building renovations, efficient appliances, and public transport. These measures reduce emissions and household energy bills over time, but they require significant upfront spending and administrative capacity. **Investment in clean infrastructure**, including electricity grids, storage, railways, and electric-vehicle charging, can accelerate the transition while supporting long-term economic competitiveness, though construction can be costly and resource-intensive.

Socially, climate policies should include **just-transition measures**, such as worker retraining and regional support for communities dependent on fossil-fuel industries. Overall, combining emissions reductions with economic support and social protection can help Europe pursue climate goals while limiting distributional and economic disruptions.

2- European countries should pursue a mix of climate policies rather than rely on a single approach. Expanding **renewable energy, electricity grids, and energy storage** can reduce greenhouse-gas emissions, improve energy security, and create jobs in emerging industries. However, high initial investment costs, permitting delays, and grid constraints can slow deployment.

Carbon pricing, through emissions trading or carbon taxes, can encourage businesses and consumers to reduce fossil-fuel use while generating government revenue. Its main challenge is that higher energy and transport costs can disproportionately affect low-income households and energy-intensive industries. This can be addressed through targeted rebates, social support, and investment in cleaner alternatives.

Governments can also promote **energy efficiency** through building renovation standards, heat pumps, and public transport. These measures can lower long-term energy bills and improve air quality, although upfront costs may burden households and require substantial public financing.

Finally, policies supporting **green industrial innovation** can strengthen European competitiveness and create employment, but poorly designed subsidies may be expensive or distort markets. Overall, effective climate policy should combine emissions reduction with economic investment, social protection, and a fair transition for affected workers and communities.

3- European countries should consider a combination of climate policies rather than relying on a single approach. Expanding **renewable energy**, such as wind and solar, can reduce greenhouse-gas emissions, improve energy security, and create jobs in emerging industries. However, renewable systems require substantial investment, grid expansion, and solutions for intermittency.

Carbon pricing, through emissions trading or carbon taxes, can encourage businesses and consumers to reduce fossil-fuel use efficiently. Its challenge is that higher energy and transport costs can disproportionately affect low-income households and energy-intensive industries. Governments can address this through targeted rebates and social support.

Investment in **public transport, energy-efficient buildings, and electric vehicles** can reduce emissions while improving air quality and, in some cases, lowering long-term household costs. Nevertheless, infrastructure upgrades require significant public funding and may face local opposition.

Finally, policies supporting **industrial decarbonization**, including green hydrogen and low-carbon technologies, could protect European competitiveness while reducing emissions. Overall, effective climate policy should balance environmental goals with economic resilience and social fairness, using public investment and targeted assistance to ensure that the transition does not disproportionately burden vulnerable communities.

4- European countries should pursue a combination of climate policies rather than rely on a single approach. Expanding **renewable energy**, modernizing electricity grids, and improving energy storage can reduce greenhouse-gas emissions, air pollution, and dependence on imported fossil fuels. However, these measures require substantial investment and can face opposition over land use, infrastructure, and higher short-term costs.

Carbon pricing, through emissions trading or carbon taxes, can encourage businesses and consumers to reduce emissions efficiently while generating public revenue. Its social impact can be difficult, however, because higher energy and transport costs may disproportionately affect low-income households. Governments can address this through targeted subsidies, tax rebates, or investments in public services.

Energy-efficiency policies, such as building renovations and stricter efficiency standards, can lower emissions and household energy bills while creating construction and technology jobs. Their main challenge is the upfront cost of upgrades.

Finally, governments could expand **public transport, electric vehicles, and sustainable agriculture**. These approaches offer environmental and health benefits but require significant infrastructure and behavioral changes. Overall, effective climate policy should combine emissions reductions with economic support and a **just transition** for affected workers and communities.

5-European countries should pursue a combination of climate policies rather than rely on a single approach. **Carbon pricing**, through emissions trading or carbon taxes, can reduce greenhouse-gas emissions by encouraging cleaner production and consumption. However, higher energy costs may disproportionately affect low-income households and energy-intensive industries, requiring targeted compensation.

Governments should also accelerate **renewable energy, electricity grids, and energy storage**. These investments can reduce fossil-fuel dependence, improve energy security, and create jobs, but they require substantial public and private investment and may face local opposition over land use and infrastructure.

Improving **energy efficiency** in buildings, transport, and industry can lower emissions while reducing long-term energy bills. Yet, upfront costs can discourage households and small businesses unless governments provide grants or affordable financing.

Policies supporting **public transport, cycling, electric vehicles, and sustainable agriculture** can further reduce emissions and air pollution. Their effectiveness depends on infrastructure availability and affordability, particularly in rural or lower-income communities.

Overall, European climate policy should combine emissions reduction with **social protections, worker transition programs, and regional investment**. This can help ensure that environmental goals are pursued without placing disproportionate economic or social burdens on vulnerable groups.

2. Climate Policy

1- European countries can accelerate the transition to a low-carbon economy through a combination of **carbon pricing, renewable-energy investment, energy efficiency, and cleaner transport**. Expanding emissions trading and carbon taxes can make high-emission activities more expensive, encouraging firms and consumers to adopt cleaner technologies. However, governments should address concerns about higher household and business costs, particularly for lower-income groups.

Increasing investment in **solar, wind, electricity grids, energy storage, and low-carbon industrial technologies** can reduce dependence on fossil fuels while creating jobs and strengthening energy security. Challenges include high upfront costs, planning delays, grid constraints, and local opposition to infrastructure projects.

Stronger **building-efficiency standards and financial support for insulation and heat pumps** could reduce energy demand and emissions. Such measures can lower long-term energy bills, although renovation costs and shortages of skilled workers may slow implementation.

Finally, policies promoting **public transport, railways, cycling, electric vehicles, and charging infrastructure** can reduce transport emissions and urban air pollution. Their effectiveness depends on reliable infrastructure and affordable alternatives to private cars.

Overall, a combination of market incentives, public investment, regulation, and targeted social support can help Europe cut emissions while managing economic and distributional challenges.

2- European countries can accelerate the transition to a low-carbon economy through a combination of **carbon pricing, renewable-energy investment, energy efficiency, and cleaner transport**. Expanding emissions trading and carbon taxes can make fossil fuels reflect their environmental costs, encouraging businesses and consumers to adopt low-carbon technologies. However, poorly designed carbon pricing can increase energy costs and disproportionately affect lower-income households.

Governments can also support **wind, solar, electricity grids, energy storage, and green hydrogen** through public investment and streamlined permitting. These measures can reduce emissions, improve energy security, create jobs, and reduce dependence on imported fossil fuels. Challenges include high upfront costs, grid constraints, land-use conflicts, and variability in renewable generation.

Improving **building insulation, heat pumps, and industrial energy efficiency** can lower both emissions and long-term energy bills, although renovation costs and shortages of skilled workers may slow adoption. In transport, investment in **public transit, rail, cycling infrastructure, and electric vehicles** can reduce oil consumption and urban pollution, but requires substantial infrastructure spending.

Finally, governments should provide **targeted financial support and worker-transition programs** for households, regions, and industries most affected by decarbonization. A predictable, coordinated policy framework can help businesses invest while making the transition more socially equitable.

3- European countries could consider a combination of **carbon pricing, renewable-energy investment, energy-efficiency measures, and clean-transport policies** to accelerate the transition to a low-carbon economy.

A stronger **carbon price**, through emissions trading or carbon taxes, can encourage businesses and consumers to reduce fossil-fuel use while generating revenue for climate investments. However, higher energy costs may disproportionately affect low-income households, requiring targeted compensation.

Expanding **renewable energy**, electricity grids, and energy storage can reduce dependence on fossil fuels, improve energy security, and create jobs in emerging industries. Challenges include high upfront investment, lengthy permitting processes, and local opposition to infrastructure projects.

Governments can also promote **building renovation, heat pumps, and industrial efficiency** through grants, standards, and low-interest financing. These measures can lower long-term energy bills and emissions, although they require substantial public and private investment.

Finally, policies supporting **electric vehicles and public transport** can reduce transport emissions and urban air pollution. Their effectiveness depends on charging infrastructure, affordable vehicles, and reliable public transport.

Overall, a coordinated policy mix can deliver environmental, economic, and energy-security benefits, but success depends on managing costs, protecting vulnerable groups, and maintaining public support.

4- European countries could accelerate the transition to a low-carbon economy through a combination of carbon pricing, renewable-energy investment, energy-efficiency measures, and cleaner transport policies. Strengthening carbon taxes and emissions trading would make polluting activities more expensive, encouraging businesses and consumers to adopt low-carbon technologies. Revenues could help support households and industries during the transition.

Governments could also expand investment in renewable electricity, electricity grids, energy storage, and low-carbon technologies such as green hydrogen. This could reduce dependence on fossil-fuel imports, improve energy security, and create new industries and jobs. Stronger building-efficiency standards, heat-pump incentives, and public-transport infrastructure could further reduce emissions while lowering long-term energy costs.

However, these policies present challenges. Large investments are required, and higher energy or carbon prices may disproportionately affect low-income households and energy-intensive industries. Renewable-energy projects can also face planning delays, grid constraints, and local opposition. Rapid industrial change may create adjustment costs and job losses in fossil-fuel-dependent regions.

Therefore, effective climate policy should combine ambitious emissions targets with financial support, worker retraining, infrastructure investment, and measures to ensure that the transition is socially and economically fair.

5- European countries can accelerate the transition to a low-carbon economy through a combination of **carbon pricing, renewable-energy investment, energy efficiency, and cleaner transport**. Strengthening carbon taxes or emissions trading can make high-emission activities more expensive while encouraging businesses to adopt low-carbon technologies. Revenues could support households, innovation, and climate-related infrastructure.

Governments can also expand **wind, solar, electricity grids, and energy storage**, while simplifying permitting procedures. Improving building insulation and efficiency standards can reduce energy consumption, lower long-term household costs, and reduce dependence on imported fossil fuels. In transport, investment in public transit, railways, cycling infrastructure, and electric-vehicle charging can help reduce oil consumption and urban emissions.

These policies could create green industries and jobs, improve energy security, and reduce air pollution and climate risks. However, challenges include **high upfront investment costs, resistance from affected industries and households, regional differences in energy systems, and concerns about affordability**. Carbon pricing can disproportionately affect lower-income households unless revenues are redistributed effectively. Policymakers must therefore combine ambitious emissions targets with social protections, worker-transition programs, and cooperation across European countries to maintain competitiveness and public support.

3. Climate Policy

1- European countries could pursue climate policies that reduce emissions while limiting costs for households and protecting business competitiveness. A key approach is **carbon pricing**, through emissions trading or carbon taxes, combined with targeted rebates or tax reductions for lower-income households. This creates incentives to cut emissions while cushioning the impact on vulnerable consumers.

Governments could also accelerate **renewable energy, electricity-grid upgrades, and energy efficiency**. These investments can reduce dependence on imported fossil fuels, lower energy costs over time, and create jobs in emerging industries. However, they require substantial upfront investment and can face permitting delays or local opposition.

Industrial decarbonization support, such as funding for clean technologies, contracts for difference, and infrastructure for hydrogen or carbon capture, could help European firms remain competitive during the transition. The challenge is avoiding inefficient subsidies or excessive public spending.

Finally, European countries could coordinate policies and use measures such as **carbon border adjustment mechanisms** to reduce the risk of carbon leakage from industries relocating abroad. Overall, a predictable, technology-neutral policy mix—combining carbon pricing, targeted support, infrastructure investment, and international coordination—could balance environmental goals with affordability and competitiveness.

2- European countries should combine **market-based climate policies with targeted support** to reduce emissions without imposing excessive costs on households or weakening competitiveness.

First, governments could expand **renewable energy, electricity grids, storage and cross-border interconnections**. More domestic wind and solar can reduce dependence on volatile fossil-fuel imports and, over time, lower energy costs, although substantial upfront investment is required.

Second, **carbon pricing**, including emissions trading, should remain central because it encourages businesses to choose the least-cost emissions reductions. Revenues could finance tax relief, energy-efficiency improvements and targeted support for low-income households.

Third, countries should prioritize **energy efficiency**, such as building renovation, efficient heating and industrial modernization. These measures can lower energy bills and improve productivity, but high initial costs and administrative barriers may discourage investment.

Finally, governments could support **clean industrial technologies, skills and innovation**, while using carbon-border measures to reduce the risk of carbon leakage. The European Commission's Clean Industrial Deal follows this approach.

Overall, the key challenge is balancing short-term transition costs with longer-term benefits from cheaper, more secure and cleaner energy.

3- European countries could pursue climate policies that reduce emissions while limiting costs and protecting competitiveness. **Carbon pricing**, through emissions trading or carbon taxes, can encourage businesses to cut emissions where it is cheapest. Revenues could be returned to households through targeted rebates or used to reduce taxes, cushioning low-income families.

Governments could also accelerate **renewable energy, electricity-grid upgrades, and energy efficiency**. Although these require substantial investment, they can reduce dependence on imported fossil fuels, lower energy costs over time, and create jobs in emerging industries. Support for **research and development** in areas such as green hydrogen, batteries, and low-carbon industrial processes could strengthen Europe's technological position.

To protect energy-intensive industries from **carbon leakage**, policymakers could combine domestic carbon pricing with measures such as the EU's Carbon Border Adjustment Mechanism (CBAM), while ensuring that trade rules are respected.

However, these approaches face challenges. Large upfront investments may raise public spending and short-term prices, while carbon pricing can disproportionately affect poorer households without compensation. Complex regulations may also burden smaller firms. Finally, if European climate policies make production significantly more expensive than elsewhere, industries and investment could relocate abroad. Effective policy therefore requires predictable rules, targeted financial support, and coordination across European countries.

4- European countries should prioritize climate policies that reduce emissions while limiting costs for households and businesses. **Carbon pricing**, such as emissions trading and carbon taxes, can encourage companies to adopt cleaner technologies while allowing markets to identify the cheapest reductions. Revenues could be returned through tax cuts, targeted energy rebates, or investment in public infrastructure to protect lower-income households.

Governments should also accelerate **renewable energy, electricity grids, and energy storage**. Greater investment can reduce dependence on imported fossil fuels, improve long-term energy security, and lower exposure to volatile energy prices. Streamlining permits and supporting competition could reduce investment costs.

Energy-efficiency measures, including building renovation and industrial efficiency programs, can lower energy bills and emissions simultaneously, although high upfront costs may discourage households and smaller firms. Targeted grants and affordable financing can address this barrier.

To protect **economic competitiveness**, European countries could support research and development in clean technologies and coordinate climate policies internationally. Transitional assistance may be necessary for emissions-intensive industries facing higher costs.

The main challenges are financing the transition, ensuring a fair distribution of costs, maintaining reliable energy supplies, and avoiding carbon leakage if production moves to countries with weaker climate rules.

5- European countries should pursue climate policies that reduce emissions while limiting the burden on households and businesses. A key approach is **carbon pricing**, combined with targeted rebates or tax reductions for lower-income households. This can encourage cleaner production while protecting purchasing power. Governments could also accelerate investment in **renewable energy, electricity grids, and energy efficiency**, which may reduce energy costs and dependence on imported fossil fuels over time.

To protect European competitiveness, policymakers could provide **temporary support for energy-intensive industries** that invest in low-carbon technologies, while coordinating climate standards across the EU to prevent companies from relocating to regions with weaker regulations. Support for research, innovation, and clean technologies could also create new industries and jobs.

These measures could deliver substantial benefits, including lower greenhouse-gas emissions, greater energy security, technological innovation, and improved long-term economic resilience. However, challenges include high upfront public investment, potentially higher short-term energy prices, administrative complexity, and unequal effects across countries and income groups. Policymakers would therefore need predictable regulations, targeted financial support, and coordination among European countries to balance environmental objectives with affordability and competitiveness.

1. Social Welfare

1- European countries should pursue social welfare policies that balance **social protection, economic sustainability, and incentives to work**. A universal welfare model, with generous healthcare, pensions, unemployment benefits, and family support, can reduce poverty and inequality and strengthen social cohesion. However, it may require relatively high taxation and can create fiscal pressures as populations age.

A more targeted approach, directing benefits primarily toward low-income or vulnerable groups, can reduce public expenditure and preserve incentives for employment. Its disadvantage is that people who narrowly miss eligibility may receive little support, potentially increasing inequality or social insecurity.

A third approach combines a strong welfare floor with **active labour-market policies**, such as vocational training, childcare, job-search assistance, and wage subsidies. This can improve employment and productivity while maintaining protection against poverty, although it requires effective administration and sustained investment.

Given Europe's diverse economies and demographics, there is unlikely to be one universally appropriate model. Policymakers should consider national fiscal capacity, labour-market conditions, demographic trends, and existing institutions. Regular evaluation can help governments adjust benefits and taxes to maintain both **social inclusion and long-term economic sustainability**.

2- European countries can pursue different welfare models depending on their fiscal capacity, labour markets, and social priorities. A **universal welfare approach**, providing broad access to healthcare, education, pensions, and income support, can reduce poverty and inequality

while promoting social cohesion. However, it can require high taxation and substantial public spending, potentially creating fiscal pressures as populations age.

A **targeted approach**, concentrating benefits on lower-income or vulnerable groups, can control government expenditure and reduce taxes on higher earners. Its disadvantages may include gaps in coverage, greater administrative complexity, and stigma for recipients.

A **market-oriented approach**, relying more heavily on private pensions, insurance, and employment-based benefits, may encourage employment and individual responsibility while limiting government costs. However, it can increase inequality and leave people vulnerable when wages, employment, or private provision are insufficient.

A balanced strategy could combine **universal essential services with targeted income support**, alongside policies that encourage employment, skills development, and affordable childcare. Such a model can support social protection while maintaining incentives to work and improving long-term economic sustainability. Ultimately, countries must balance **equity, economic efficiency, fiscal sustainability, and social security** according to their circumstances.

3- European countries should pursue social welfare policies that balance **social protection, economic sustainability, and incentives to work**. A universal welfare model, offering broad access to healthcare, education, childcare, and income support, can reduce poverty and inequality while promoting social cohesion. However, it requires relatively high taxation and public spending, which can create fiscal pressures, particularly in ageing societies.

A more targeted approach concentrates benefits on low-income and vulnerable groups. This can reduce government costs and direct resources where they are most needed, but eligibility rules may create administrative complexity, stigma, or gaps in coverage. A market-oriented approach, with lower taxes and greater reliance on private insurance and employment, may encourage investment and labour-market participation, but can increase inequality and leave vulnerable groups less protected.

A balanced “**social investment**” **approach** could combine a strong safety net with policies that improve employment opportunities, such as education, vocational training, affordable childcare, and active labour-market programmes. Such policies can strengthen long-term productivity while maintaining social protection. Ultimately, the appropriate mix depends on each country's demographics, fiscal capacity, labour market, and existing welfare institutions. European countries should therefore focus on sustainable systems that protect citizens while supporting participation and economic resilience.

4-European countries can pursue different welfare models depending on their economic capacity, demographics, and social priorities. A **generous universal welfare system**, funded through relatively high taxes, can reduce poverty and inequality, improve access to healthcare and education, and provide economic security. However, it may increase public spending and taxation and, if poorly designed, weaken incentives to work or create fiscal pressures as populations age.

A **more targeted approach**, concentrating benefits on low-income and vulnerable groups, can control government expenditure and reduce tax burdens. Yet, means-tested programs

may involve administrative complexity, stigma, and gaps in coverage, leaving some households vulnerable.

A **market-oriented approach**, with greater reliance on private pensions, insurance, and employment, can encourage labour-market participation and limit government costs. Its challenges include greater inequality and weaker protection against unemployment, illness, or old age.

A balanced approach could combine **universal basic services and social insurance with targeted assistance**, while encouraging employment through training, childcare, and active labour-market policies. European countries could also adjust retirement ages, benefit eligibility, and taxation gradually in response to demographic change. Overall, effective welfare policy involves balancing **social protection, economic sustainability, incentives to work, and long-term fiscal stability** rather than adopting a single model.

5- European countries can approach social welfare through different models, each involving economic and social trade-offs. A **generous universal welfare system**, common in Nordic countries, provides broad access to healthcare, education, unemployment support, and family benefits. It can reduce poverty and inequality, promote social cohesion, and support human capital, but requires relatively high taxation and efficient public administration.

A **targeted welfare approach** directs benefits mainly toward low-income or vulnerable groups. This can reduce government spending and keep taxes lower while protecting those most in need. However, strict eligibility rules can create gaps in coverage, discourage some people from seeking work, and increase administrative complexity.

A **work-oriented or market-based approach** emphasizes employment, private provision, and incentives to work, often combining limited benefits with active labor-market policies. It may encourage employment and economic dynamism, but weaker social protection can increase inequality and leave some households vulnerable during unemployment or economic crises.

A balanced approach could combine universal essential services with targeted income support and strong employment policies. European countries should also consider demographic change, fiscal sustainability, labor-market conditions, and national preferences when designing welfare systems.

2. Social Welfare

1- European countries could pursue a **balanced welfare model** that combines strong social protection with policies that encourage employment and economic opportunity. Governments could strengthen unemployment benefits, minimum-income schemes, affordable housing, healthcare, childcare, and pensions, while ensuring support reaches people most affected by poverty and rising living costs. Progressive taxation and effective measures against tax avoidance could help finance these programs and reduce inequality.

Such policies can provide **greater economic security**, reduce poverty, improve access to education and healthcare, and help people remain economically active. Public investment in childcare, training, and education can also improve long-term employment prospects and social mobility. During economic downturns, welfare systems can stabilize household incomes and consumer demand.

However, generous welfare programs can create **significant fiscal pressures**, particularly in ageing societies with high pension and healthcare costs. Poorly designed benefits may also weaken incentives to work or create complicated administrative systems. Higher taxes can generate resistance and may affect investment or competitiveness if designed inefficiently.

Overall, European countries could combine **adequate income protection with investment in employment, skills, housing, and essential public services**, adapting the balance to their economic conditions and demographic challenges.

2- European countries could pursue a **strong, targeted welfare state** that combines universal protections with additional support for people facing severe economic hardship. Key measures could include adequate unemployment benefits, affordable healthcare and housing, child benefits, minimum-income schemes, and access to education and job-training programmes. Progressive taxation and stronger efforts to reduce tax avoidance could help finance these policies.

The potential benefits include **lower poverty and inequality, greater social mobility, and improved economic security**. Social protection can also stabilize economies during recessions by maintaining household spending and helping people recover from unemployment. Investments in education, childcare, and healthcare may strengthen long-term employment and productivity.

However, generous welfare systems can create **significant fiscal pressures**, particularly in ageing societies with high pension and healthcare costs. Poorly designed benefits may also create disincentives to work if people lose support rapidly when their income rises. High taxes can generate concerns about competitiveness and incentives to invest or work. In addition, expanding welfare programmes requires effective administration to prevent fraud and ensure assistance reaches those most in need.

Overall, the policy challenge is to balance **adequate protection, incentives to participate in work, and long-term fiscal sustainability**, while adapting policies to national economic and demographic conditions.

3- European countries should pursue a **strong but sustainable social welfare model** that combines income protection with opportunities for employment and social mobility. Governments could strengthen unemployment benefits, pensions, housing assistance, child benefits, and minimum-income schemes, while ensuring that support reaches people facing poverty or insecure employment. Progressive taxation, including greater contributions from higher incomes and wealth where appropriate, could help finance these measures.

Such policies can **reduce poverty and inequality**, improve access to healthcare and education, and provide households with greater financial security during unemployment, illness, or economic downturns. Strong social protection can also support economic stability

because lower-income households are more likely to spend additional income on essential goods and services.

However, generous welfare systems create challenges. They can require **substantial public spending**, placing pressure on government budgets, particularly in ageing societies. Poorly designed benefits may also create administrative complexity or reduce incentives to work if benefits are withdrawn too rapidly as earnings rise. European countries therefore need to balance adequate support with employment incentives, efficient administration, and long-term fiscal sustainability. Policies should also reflect differences in national economies, labour markets, and existing welfare institutions.

4- European countries could pursue **inclusive, adequately funded welfare systems** that combine universal services with targeted assistance for people facing severe hardship. Key measures could include progressive taxation, affordable healthcare and education, unemployment benefits, housing support, childcare, and minimum-income guarantees. Active labour-market policies, such as vocational training and employment assistance, can also help people move from welfare into stable employment.

These approaches can **reduce poverty and inequality**, improve access to essential services, and provide greater economic security during unemployment, illness, or economic downturns. Universal programs may also strengthen social cohesion by ensuring that support is not limited to the poorest groups.

However, stronger welfare systems involve **significant challenges**. Higher taxes or social contributions may be necessary to finance them, potentially creating political resistance or concerns about effects on employment and business competitiveness. Poorly designed benefits can also create administrative complexity or weaken incentives to work. Furthermore, European countries differ considerably in their fiscal capacity, labour markets, demographics, and existing welfare institutions.

A balanced approach would therefore combine **adequate social protection, progressive and sustainable financing, effective employment policies, and regular evaluation** to ensure that benefits reach those who need them without creating unnecessary economic distortions.

5- European countries could pursue a **strong but sustainable welfare-state model** that combines universal social protection with targeted assistance for people facing severe hardship. Governments could strengthen unemployment benefits, pensions, housing support, child benefits, and access to healthcare and education, while ensuring that benefits reach vulnerable groups effectively. Progressive taxation, including greater contributions from higher-income households, could help finance these programs.

The potential benefits include **reducing poverty and income inequality**, improving social mobility, and providing greater economic security during unemployment, illness, or economic downturns. Strong social protection can also support social cohesion and allow people to invest in education and employment without facing extreme financial insecurity.

However, generous welfare systems can create **significant fiscal pressures**, particularly in countries with ageing populations and rising healthcare and pension costs. Poorly designed benefits may also discourage employment if recipients lose support too quickly when they

begin working. In addition, higher taxes can face political resistance and may affect incentives for investment or entrepreneurship.

A balanced approach should therefore combine adequate benefits with employment support, affordable childcare and training, efficient public services, and carefully designed incentives to work.

3. Social Welfare

1- European countries should pursue a **balanced welfare approach** that combines a strong social safety net with incentives to work and responsible public spending. Welfare benefits should protect people from poverty and major economic shocks, while policies such as **employment-linked benefits, childcare support, retraining, and active job-search programs** can make employment more attractive and accessible. Gradually reducing benefits as earnings rise, rather than withdrawing them abruptly, can also reduce “welfare traps.”

Greater emphasis on **individual responsibility** could encourage people to participate in the labor market and invest in education and skills. At the same time, governments should recognize that unemployment can result from factors beyond individual control, such as economic downturns, disability, or regional job shortages.

These policies could increase employment, reduce long-term welfare dependency, strengthen tax revenues, and improve the sustainability of public finances. However, they also present challenges. Excessively strict conditions may increase poverty or penalize vulnerable groups, while generous benefits can create high fiscal costs and potentially weaken work incentives. Differences in labor markets, demographics, and existing welfare systems also mean that **one policy model will not suit every European country**.

2- European countries could pursue a **balanced welfare approach** that protects people from poverty while strengthening incentives to work and keeping public finances sustainable. Governments could emphasize **active labour-market policies**, such as job-search assistance, vocational training, childcare, and reskilling, alongside benefits that gradually decline as earnings increase. This can make employment financially attractive while helping people adapt to changing labour markets.

Greater emphasis on **individual responsibility** could include clearer expectations for benefit recipients to seek work or training, combined with adequate support for people facing genuine barriers such as disability or caregiving responsibilities. At the same time, governments could improve sustainability by targeting benefits toward those most in need, reducing inefficient subsidies, and linking retirement ages and social contributions more closely to demographic trends.

Potential benefits include higher employment, reduced long-term welfare dependency, stronger incentives for skills development, and lower pressure on government budgets. However, these reforms also carry risks. Strict eligibility conditions may increase poverty or insecurity if suitable jobs are unavailable, while benefit reductions can create “poverty traps” if poorly designed. Successful reform therefore requires a **balance between social**

protection, employment incentives, and fiscal discipline, adapted to each country's labour market and demographic circumstances.

3- European countries could pursue welfare systems that combine a strong social safety net with incentives for employment, personal responsibility, and fiscal sustainability. One approach is to make benefits more closely linked to participation in work, training, or job-search programmes, while maintaining adequate support for people unable to work. Gradually reducing benefits as earnings increase can also limit “welfare traps” in which taking a low-paid job provides little financial gain.

Such policies could increase employment, strengthen incentives to develop skills, and reduce long-term dependence on government assistance. Governments could also improve spending sustainability through better targeting of benefits, regular programme evaluations, and measures that encourage later retirement or higher labour-force participation where appropriate.

However, stricter conditionality can create challenges. People facing disability, childcare responsibilities, poor health, or weak local labour markets may struggle to meet employment requirements. Excessively reducing benefits could increase poverty and inequality, while administrative complexity may raise costs rather than reduce them. Therefore, reforms should combine employment incentives with accessible childcare, education, healthcare, and active labour-market services, ensuring that fiscal discipline does not undermine social protection.

4- European countries should aim for a **balanced welfare model** that protects people from poverty while strengthening incentives to work and keeping public finances sustainable. One approach is to make benefits more closely linked to participation in employment, training, or job-search programmes, while maintaining adequate support for people who cannot work. Policies such as childcare provision, affordable education, vocational training, and targeted tax credits can reduce barriers to employment and increase individual earning capacity.

Such reforms could **encourage employment, reduce long-term benefit dependency, and broaden the tax base**, helping governments finance welfare systems as populations age. Greater emphasis on personal responsibility could also strengthen incentives to save, acquire skills, and return to work.

However, overly strict conditions on welfare can **increase poverty and inequality**, particularly among people facing disability, caregiving responsibilities, unstable employment, or regional labour-market shortages. Cutting benefits too quickly may also weaken household demand and social cohesion. Administrative complexity can create additional costs.

A sustainable approach therefore requires a **balance between incentives and protection**: welfare should provide a secure safety net while making employment financially worthwhile, investing in people's ability to work, and regularly evaluating programmes against fiscal and social outcomes.

5- European countries could pursue a **balanced welfare model** that combines adequate social protection with strong incentives to work and careful fiscal management. Benefits should provide a reliable safety net while gradually increasing the financial gains from employment,

for example through in-work tax credits, targeted benefits, and effective childcare and training programmes.

Governments could also emphasize **active labour-market policies**, helping unemployed people acquire relevant skills and return to work rather than relying primarily on long-term income support. At the same time, pension and healthcare systems may require reforms that reflect demographic ageing, while eligibility rules and benefit levels should be regularly evaluated for affordability and effectiveness.

These approaches could **encourage employment, reduce long-term dependency, strengthen individual responsibility, and improve the sustainability of public finances**. Investment in education, healthcare, childcare, and retraining can also increase productivity and social mobility.

However, challenges include the risk that stricter conditions disproportionately affect people with disabilities, low skills, caring responsibilities, or limited job opportunities. Benefit reductions can also increase poverty and inequality if employment opportunities are insufficient. Moreover, reforms to pensions or welfare programmes may face strong public opposition. Therefore, European governments need to balance **work incentives, social security, fairness, and long-term fiscal sustainability**.